There is no system of registering all enterprises in India. Unorganized enterprises are mostly informal and the official system has no data on them. Ironically, as the definition of ‘organized sector’ is negatively defined and the fact that there is no system of registering the unorganized sector, if you go by the above definitions, you will neither know the unorganized or organized enterprises of India! The official system in India calls unorganized enterprises by another name: MSMEs.

Numerous Laws to Deal with Labour Issues

When factories started coming into existence after the invention of power-driven machines, labour faced poor working conditions as well as exploitative terms and conditions of employment. The conditions were highly iniquitous compared to the profits that factories generated for their owners.

There was a wave of legislations across the world to create acceptable working and employment conditions for workers. India was no exception. In the twentieth century, India enacted several legislations to improve the terms of engagement for workers. Later, attention started shifting to workers in the unorganized sector and many laws have been enacted in the past three decades to improve their lot.

That said, these labour laws concern only a small fraction of workers. The base law dealing with working conditions is the Factories Act. It applies to establishments/enterprises that employ over ten workers with the use of power or more than twenty workers without the use of power. The annual survey of industries collects statistics for all factories and establishments with over 100 workers. In 2018, there were 2.38 lakh such factories and establishments in the organized sector in India, which employed a total of 1.22 crore workers. This is less than 2.5 per cent of the country’s estimated 50 crore labour force.